PRESS RELEASE

Inflation Expectations Stable; Labor Market Expectations Mixed

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NEW YORK—The Federal Reserve Bank of New York's Center for Microeconomic Data today released the October 2026 *Survey of Consumer Expectations*, which shows that households' inflation expectations remained unchanged at the short-, medium-, and longer-term horizons. Labor market expectations were mixed with unemployment and job loss expectations deteriorating, while job finding expectations improved. Expectations of an increase in unemployment reached the highest level since April 2020. Conversely, job finding expectations reached their highest level since November 2025. Income and spending growth expectations were broadly stable while delinquency expectations deteriorated. The survey was fielded from October 1 through October 31, 2026.

The main findings from the October 2026Survey are:

Inflation

- Median inflation expectations were unchanged at the one-year, three-year, and five-year-ahead horizons at 3.9%, 3.3%, and 3.0%, respectively. The survey's measure of disagreement across respondents (the difference between the 75th and 25th percentiles of inflation expectations) decreased at the one-year and five-year horizons and remained unchanged at the three-year-ahead horizon.
- Median inflation uncertainty—or the uncertainty expressed regarding future inflation outcomes—decreased at the one- and three-year horizons and was unchanged at the five-year horizon.
- Median home price growth expectations were unchanged at 3.0%, just below its 12-month trailing average of 3.1%.
- Among commodities, median year-ahead expected price changes decreased by 0.6 percentage point to 4.2% for gas and were unchanged at 5.5% for food. Median year-ahead expected price changes increased by 0.1 percentage point to 9.3% for the cost of medical care, by 0.1 percentage point to 7.6% for the cost of college education, and by 0.9 percentage point to 7.7% for rent.

Labor Market

- Median one-year-ahead earnings growth expectations remained unchanged at 2.6% in October. The series remains just below its 12-month trailing average of 2.7%.
- Mean unemployment expectations—or the mean probability that the U.S. unemployment rate will be higher one year from now—increased by 1.4 percentage points to 45.3%, its highest reading since April 2020. The increase was driven by those without a college degree.
- The mean perceived probability of losing one's job in the next 12 months increased by 0.4 percentage point to 13.9%, remaining below its 12-month trailing average of 14.3%. The mean probability of leaving one's job voluntarily, or the expected quit rate, in the next 12

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months decreased by 0.5 percentage point to 19.4%, remaining above the series' 12-month trailing average of 18.4%.

- The mean perceived probability of finding a job if one's current job was lost increased by 0.4 percentage point to 46.5%, its highest level since November 2025.

Household Finance

- The median expected growth in household income declined by 0.1 percentage point to 3.0% in October. The series has been moving in a narrow range between 2.8% and 3.1% since June 2025.
- Median one-year-ahead household spending growth expectations decreased by 0.2 percentage point to 5.3%, remaining above its 12-month trailing average of 5.0%.
- Perceptions of credit access compared to a year ago and expectations for future credit availability were roughly unchanged.
- The average perceived probability of missing a minimum debt payment over the next three months increased by 1.6 percentage points to 13.8%>, its highest level since December 2025.
- The median expectation regarding a year-ahead change in taxes at one's current income level increased by 0.1 percentage point to 3.8%, its highest reading since December 2025.
- Median year-ahead expected growth in government debt decreased by 0.2 percentage point to 9.7%, remaining above its 12-month trailing average of 9.3%.
- The mean perceived probability that the average interest rate on saving accounts will be higher in 12 months increased by 1.3 percentage points to 31.6%, its highest level since April 2023.
- Perceptions of households' financial situations improved slightly with the net share of respondents reporting a better financial situation compared to a year ago increasing. Expectations about households' financial situation a year from now were roughly unchanged.
- The mean perceived probability that U.S. stock prices will be higher 12 months from now decreased by 0.2 percentage point to 40.0%.

About the Survey of Consumer Expectations (SCE)

The SCE contains information about how consumers expect overall inflation and prices for food, gas, housing, and education to behave. It also provides insight into Americans' views about job prospects and earnings growth and their expectations about future spending and access to credit. The SCE also provides measures of uncertainty regarding consumers' outlooks. Expectations are also available by age, geography, income, education, and numeracy.

The SCE is a nationally representative, internet-based survey of a rotating panel of approximately 1,300 household heads. Respondents participate in the panel for up to 12 months, with a roughly equal number rotating in and out of the panel each month. Unlike comparable surveys based on repeated cross-sections with a different set of respondents in each wave, this panel allows us to observe the changes in expectations and behavior of the same individuals over time. For further information on the SCE, please refer to an overview of the

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survey methodology here, the FAQs, the interactive chart guide, and the survey questionnaire.

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